

recent past, and naïve extrapolation would be the method most likely to yield an accurate answer. The forecasts were least accurate at turning points, completely missing, for example, the start of the 1990s recession in July 1990, and the popping of the dot-com bubble in January 2001. It's clear that financial analysts, economists, and forecasters of all kinds behave like Lakonishok et al.'s naïve extrapolation investors, ignoring mean reversion, remaining too optimistic, and missing turning points in the markets and the economy as a result. When those turning points manifest, as they are bound to do, it is easy to claim that it was unforeseeable.

It should come as no surprise that professional investors make cognitive errors. They are, after all, human. Kahneman and Tversky, in their research, found that even clinical psychologists specialized in cognition—and aware of the research into heuristics—and other statistically sophisticated research psychologists made the same errors when they thought intuitively. In an experimental setting they were able to avoid elementary errors like the *gambler's fallacy* that we discussed in an earlier chapter, but were prone to the same errors when the problems were disguised, made more intricate, or manifest in another setting. Kahneman and Tversky show, for example, that clinical psychologists who conduct selection interviews for staff are confident in their predictions even though there is a “vast literature that shows selection interviews to be highly fallible.”⁴⁹ Similarly, a study of statistical research psychologists found that they put too much faith in the results of small-sample studies—leading them to grossly overestimate the likelihood that the results could be replicated and were representative of the population—when small-sample studies are known to have high rates of error. If psychologists expert in cognition and statistics make cognitive errors, it's wholly plausible that professional investors also make cognitive errors.

It's not difficult to understand why professional investors buy glamour stocks. One implication of DeBondt and Thaler's research, for example, is that we should favor stocks with earnings that have declined over the last three years, to stocks that have grown earnings over the last three years. This is not a difficult concept to understand, but remarkably difficult to implement in practice. Our intuition is that stocks that have seen their earnings decline for three straight years will see earnings continue to decline. The stock with earnings that have grown feels much safer. It's intuitive to extrapolate out a trend in earnings, and it's uncomfortable to invest on the expectation that they will mean revert. Similarly, we find it frightening to buy companies with plummeting stock prices, and much easier to buy stocks with advancing prices. Lakonishok et al.'s research shows that the lower a stock price is relative to some fundamental measure, the more likely it is to outperform, but stocks rarely get cheap without problems. It's difficult to ignore those problems, which aren't predictive, and focus on the undervaluation, which is. This